

03 Underwriting Memo

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Prepared by Fictional scenario credit analyst

SYNTHETIC DEMO. Planet Fitness Demo Club Operator LLC and Scenario Lender P01 are invented. No affiliation, financing or guarantee by Planet Fitness, Inc. is asserted. All financial figures, terms and scenario events below are fictional.

Approved origination position

For this simulation, approve the \$18.0000m facility under document 02. Bank cash is \$8.0000m, including \$1.0000m restricted. Eligible opening cash is \$7.0000m. Actual historical LTM EBITDA is \$6.6000m, giving illustrative opening Net Leverage of 1.6667 times. This illustration is not the first contractual quarter-end test.

A1 Member retention

The fictional 20-club group starts with 100,000 active members. Monthly joins of 3,000 offset 3% attrition. Review attrition above 4%; C04 notice applies above 4.5%. A canceled member and a failed payment are different observations.

A2 Dues collections

Average monthly dues are \$25 per member, not the public company's actual price mix. The base case collects 98% of current dues and 25% of opening arrears each month. At \$2.5m dues revenue, that maintains \$0.2m receivables. Review current collections below 96%; C04 notice applies below 94%. Prior arrears recovered do not improve the current-dues collection rate.

A3 Club costs

Monthly club operating costs are \$1.8m, including rent, utilities, staffing and ordinary local advertising. Central expense is \$0.2075m. Review club costs above \$2m. No signed staffing savings or rent concessions are assumed at closing.

A4 Operator economics

The borrower pays a fictional 7% royalty on total recognized revenue. It does not earn public-company franchise royalties or equipment revenue. Other monthly services provide \$0.25m revenue and cash. No systemwide club count, brand guarantee or unrelated entity's cash supports this loan.

A5 Liquidity

The approved six-month forecast increases Unrestricted Cash from \$7.0000m to \$8.492500m. The original cash expectation, C01's \$6.0000m actual floor and C05's \$6.5000m forecast-reporting trigger are separate measures. No new debt or equity contribution is assumed.

A6 Reporting and evidence

The finance team is expected to reconcile operating results, working capital and bank cash within the C03 deadline. Contractual notices may be due sooner. Public-company background informs business understanding only. Review delays as evidence gaps, not automatic proof of economic loss or compliance.

Dependencies and approval

Sales or members affect revenue, but collection timing affects cash separately. Trace each mechanism once and preserve mitigants. Model file 04 supplies the drivers and statements; policy file 05 supplies review standards. Approve A1-A6 on October 1, 2026 and preserve these assumptions when later reports arrive. No later event is assumed here.